

PLANNING AND CONTROLLING

Planning and controlling consumption are key factors underlying wealth accumulation. Thus, one should expect that PAWs like Dr. North take the time to plan their budgets. They do. Conversely, Dr. South has no control over his family's consumption, other than his household's income limit. We asked Drs. South and North about their respective planning and controlling systems.

Question: Does your household operate on a fairly well-thought-out annual budget?

Dr. South: No.

Dr. North: Yes ... absolutely!

Operating a household without a budget is akin to operating a business without a plan, without goals, and without direction. The Norths have a budget that calls for them to invest at least one-third of their pretax household income each year. In fact, during the year that we interviewed Dr. North, he and his wife invested nearly 40 percent of their annual pretax income. How were they able to do this? In short, they consume at the same level as the average family that earns about one-third as much as they do.

What about the Souths? They consume at the same level as the average household that earns nearly two times *more* than they do. In fact, their hyperuse of credit is more in line with that of households that earn several million dollars each year. The Souths essentially spend all of or more than their income each year. This income is their only restraint.

We asked both doctors another set of questions:

1. Do you know how much your family spends each year for food, clothing, and shelter?
2. Do you spend a lot of time planning your financial future?